CHARTERED ACCOUNTANTS ACADEMY

AUDTING DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 3: EVALUATING CONCLUDING AND REPORTING

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1. Introduction

Evaluation, conclusion and reporting are the last step in the audit process. This step is normally performed by more experienced staff. Some of the factors the auditor needs to take into consideration are subsequent events, going concern and misstatements. These factors are important as they may influence the auditor's report.

Upon completion of a professional engagement the auditor has to issue an audit report. The contents, format and type of report will be determined by the nature of the work performed, as agreed in the engagement letter.

Please note that the topics covered in this study unit should not be studied in isolation.

2. Objectives of evaluating concluding and reporting

- Evaluate the sufficiency and appropriateness of audit evidence gathered.
- Formulate additional procedures to be performed to obtain sufficient and appropriate audit evidence (you will be given information on the procedures already performed) prior to expressing an audit opinion.
- Evaluate and discuss the applicability of the going concern principle.
- Explain the accounting (or management's) treatment of subsequent events.
- Identify adjusting and non-adjusting events and justify your answer.
- Formulate audit procedures (including considerations) relating to:
    - Going concern
    - Subsequent events:
- Describe, evaluate and calculate misstatements identified during the audit.
- Prepare a schedule of misstatements (calculation of misstatements).
- Distinguish between the different types of audit reports and opinions
- Consider the following in relation to the audit report/opinion:
    - Going concern
- Discuss the impact of the following on the audit report/opinion:
    - Misstatements
    - Going concern
    - Subsequent events
- Discuss the type of audit opinion (or the nature of modifications) applicable.
- Answer questions relating to integration with other topics, e.g. Subsequent events, going concern, Substantive procedures, Companies Act, etc. and understand how these will affect your audit opinion.
- Demonstrating an understanding of the auditor's responsibilities in regard to Comparative information and corresponding figures.
- Demonstrating an understanding of the auditor's responsibilities in regard to Other information in documents containing audited financial statements.
- Evaluating and criticising an audit opinion provided

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3. Scope – relevant ISAs

ISA 450: Evaluation of misstatements identified during the audit

ISA 560: Subsequent events

ISA 570: Going concern

ISA 580: Written representations

ISA 700: Forming an opinion and reporting on financial statements

ISA 705: Modifications to the opinion in the independent auditor's report

ISA 706: Emphasis of matter paragraphs and other matter paragraphs in the independent auditor's report

ISA 710: Comparative information – Corresponding figures and comparative financial statements

ISA 720: The auditor's responsibilities relating to other information in documents containing audited financial statements

4. Study material

CAA Applied Auditing and Governance Module 2 (AUD 402) – Study Unit C

5. Examination possibilities

Theoretical question with minimal calculations where you will be required to:

- Discuss the auditor's responsibilities with regards to subsequent events
- Evaluate misstatements identified during an audit
- Form an opinion on the financial statements
- Impact of identified audit issues/findings on the audit opinion and
- To evaluate the appropriateness of the going concern assumption

6. Assumed Knowledge

This is the last topic in Applied Auditing and Governance and assumes that you have covered the following topics:

- Planning
- Risk assessment
- Materiality in planning an audit
- Auditor's responsibility relating to fraud
- Consideration of laws and regulations
- Communicating with those charged with governance

- Sampling
- Group Audits and using the work of others
- IAS 10: Events after the reporting period

7. Integration

This topic can be integrated with any financial accounting standard, management accounting and finance and taxation topics. Its highly examinable.

8. Competence Framework expectation

- Evaluates the sufficiency and significance of the evidence and/or results of analysis
- Draws a conclusion as to whether each procedure performed meets its objective
- Analyses and decides on the reasonableness of the conclusions on the subject matter based on an understanding of the nature of the business and its operations for the period and on the outcome of assurance procedures
- Determines whether the subject matter conforms to the set of criteria used for evaluation
- Evaluates the reasonableness / fair presentation of the subject matter as a whole
  Analyses the impact of unresolved uncorrected misstatements / scope limitations in the context of materiality, and decides on the need to gather additional evidence or to extend the scope of procedures
- Assesses the need to make corrections to the subject matter or other remediation

9. Course notes

ISA 560: Subsequent events

1.1. Key definitions: The following definitions are essential to understanding the auditor's responsibilities with regards to the subsequent events. Please see ISA 560.5 for the definitions.

Date of the financial statements

- The date of the end of the latest period covered by the financial statements

Date of approval of the financial statements

- The date on which all the statements that comprise the financial statements, including the related notes, have been prepared and those with the recognized authority have asserted that they have taken responsibility for those financial statements.

Date of the auditor's report

- The date the auditor dates the report on the financial statements in accordance with ISA 700

Date the financial statements are issued

- The date that the auditor's report and audited financial statements are made available to third parties.

Subsequent events

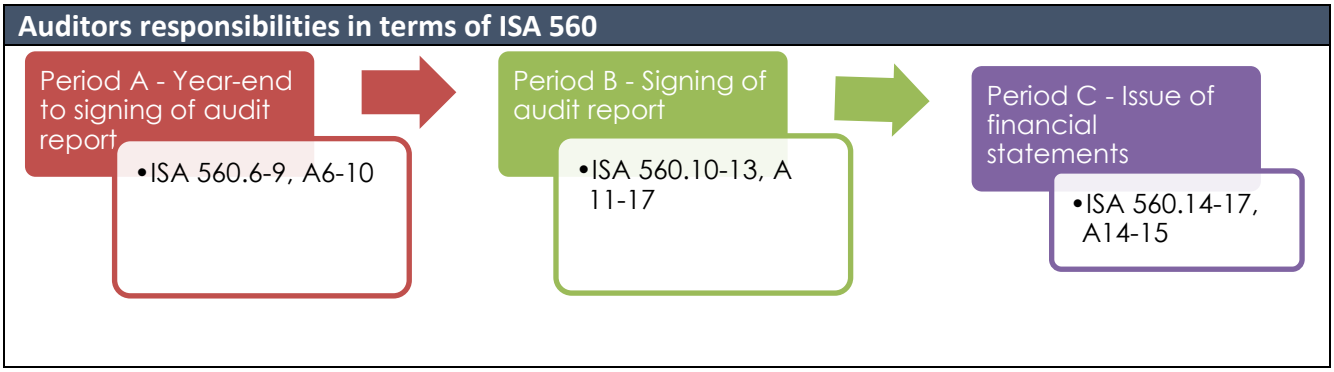
Events occuring between the date of the financial statements and the date of the auditor's report, and facts that become known to the auditor after the date of the auditor's report.

1.2. Risks related to subsequent events:

- Events occurring between date of financial statements and date of auditor's report (subsequent events) might not be detected (detection risk).
- Management might not account for subsequent events correctly (risk at financial statement level; inherent risk.)

1.3. Auditor's responsibility in respect of subsequent events

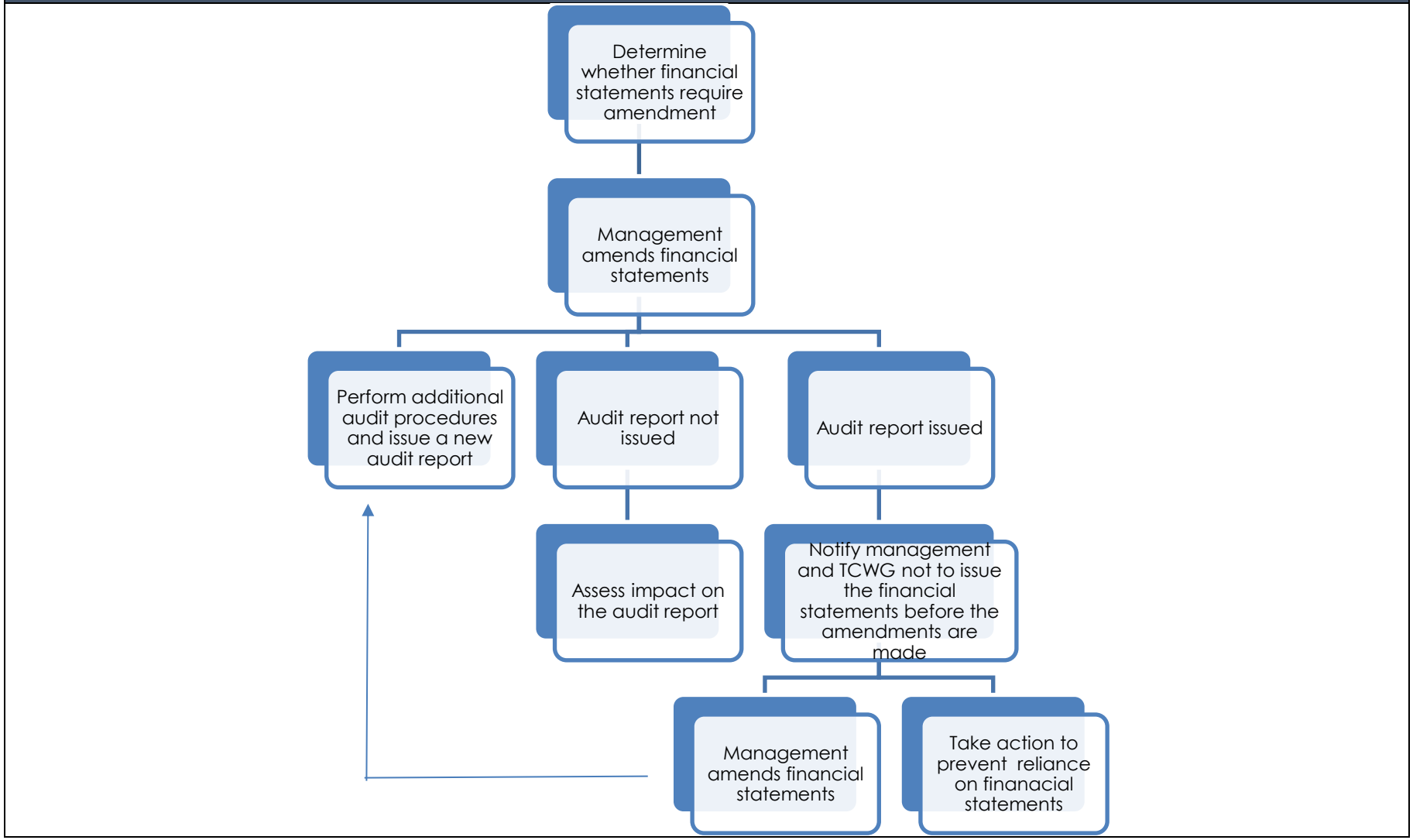
To understand the various events described by ISA 560, students are referred to the figure below



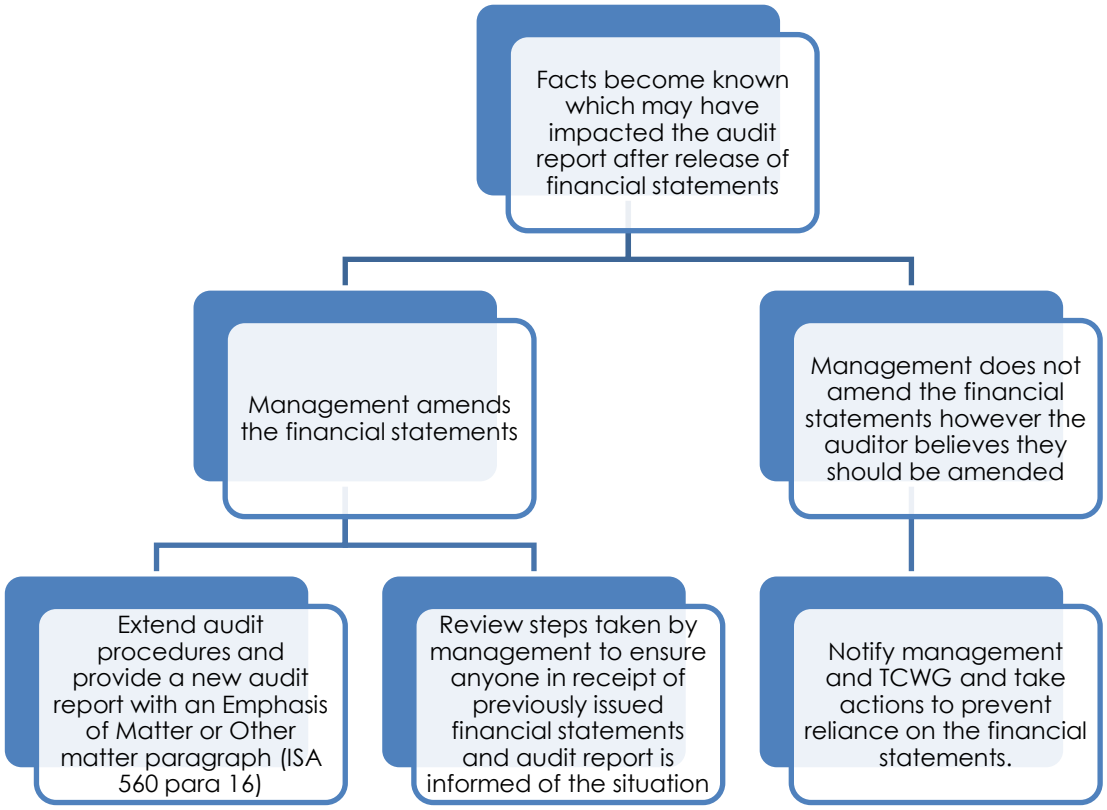
Timeline	Auditor's responsibility
Date of Financial statements to Date of the auditor's report (ISA 560 par 6 – 9) – Period A	▪ To perform procedures designed to obtain audit evidence that events occurring within this period that require adjustment or disclosure in the financial statements have been identified. ▪ The auditor shall request a management representation letter to confirm that all events occurring after the date of the Financial Statements and for which the applicable financial reporting framework required adjustment or disclosure have been adjusted or disclosed.
After the date of the auditor's report but before the date the Financial Statements are issued: (ISA 560 par 10 – 13) – Period B	▪ The auditor has no obligation to perform any procedures regarding the financial statements after the date of the auditor's report. ▪ However, if any facts become known to the auditor that, had it been known to the auditor at the date of the auditor's report, may have caused the auditor to amend the auditor's report, the auditor shall: o Discuss the matter with management o Determine whether the Financial Statements need amendment and if so o Enquire how management intends to address the matter in the Financial Statements. ▪ If management amends the FS the auditor shall:

	○ Carry out the audit procedures necessary in the circumstances on the amendment. ○ Provide a new auditor's report on the amended Financial Statements.
Date after the financial statements have been issued (ISA 560 par 14 – 17) – Period C	▪ The auditor has no obligation to perform any procedures regarding the financial statements after the Financial Statements have been issued. ▪ However, if any facts become known to the auditor that, had it been known to the auditor at the date of the auditor's report, may have caused the auditor to amend the auditor's report, the auditor shall: ○ Discuss the matter with management ○ Determine whether the Financial Statements need amendment and if so ○ Enquire how management intends to address the matter in the Financial Statements. ▪ If management amends the Financial Statements the auditor shall: ○ Carry out the audit procedures necessary in the circumstances on the amendment. ○ Provide a new auditor's report on the amended Financial Statements .

Period A audit procedures



Period C audit procedures



Exam tip!!!

IAS 10: Events after the Reporting Period

There are two types of subsequent events:

- *Adjusting events: Those that provide evidence of conditions that existed at the date of the financial statements.*
- *Non-adjusting event: Those that provide evidence of conditions that arose after the date of the financial statements.*

Examples of adjusting and non-adjusting events (the list is not exhaustive): **The following events took place after the date of the financial statement at various audit clients of your firm.**	
Event	**Classification and justification**
The internal audit department discovered (whilst conducting a site visit) that machinery and equipment had, during the financial year under audit, been stolen from the site.	Adjusting ▪ Machinery and equipment overstated at year-end; theft "existed" at date of financial statements.
A final judgment was given by the court in a case in which the audit client was successfully sued for damages amounting to $500k. At the date of financial statements the client had provided $300k in respect of this claim.	Adjusting ▪ Increase of $200k required – known obligation at date of financial statements.
An explosion at the audit client's factory (after the financial year-end) resulted in the directors announcing a plan to discontinue that specific manufacturing operation.	Non-adjusting ▪ Discontinuation did not "exist" at the date of financial statements; however, disclosure should be made as it is a material matter.
The company declared a dividend of 25c per share to its ordinary shareholders.	Non-adjusting ▪ no liability at year-end; no adjustment but disclosure is required as it is a material matter.

ISA 570 (Revised) Going concern

a. Introduction

The conceptual framework in IFRS states that the financial statements are prepared on a going concern basis, i.e. it is assumed that the company/entity will continue to operate as a going concern for the foreseeable future.

If a company is not a going concern, it is not permitted to prepare its financial statements in accordance with IFRS and is required to use the liquidation basis instead. If a company is **not a going concern** and still prepares its financial statements on a going concern basis it will result in the **financial statements being materially misstated**. The auditor must therefore consider whether the going concern assumption is appropriate for a given client before expressing an audit opinion.

A company is a going concern if it meets the following criteria:

a. Its assets exceed its liabilities (factual solvency); and
b. It can pay its debts as they become due in the ordinary course of business for the foreseeable future (commercial solvency).

b. Responsibility for Assessment of the entity's ability to continue as a going concern.

Some financial reporting frameworks contain an explicit requirement for management to make a specific assessment of the entity's ability to continue as a going concern, and standards regarding matters to be considered and disclosures to be made about going concern.

For example, International Accounting Standard 1 (IAS 1) requires management to assess an entity's ability to continue as a going concern.

Factors impacting management's going concern assessment	
	List the factors that can impact the judgement of management as it relates to a concern assessment (**ISA 570.5**): • The degree of uncertainty associated with the outcome of an event or condition increases significantly the further into the future an event or condition or the outcome occurs. For that reason, most financial reporting frameworks that require an explicit management assessment specify the period for which management is required to consider all available information. • The size and complexity of the entity, the nature and condition of its business and the degree to which it is affected by external factors affect the judgment regarding the outcome of events or conditions. • Any judgment about the future is based on information available at the time at which the judgment is made. *Subsequent events* may result in outcomes that are inconsistent with judgments that were reasonable at the time they were made.

c. Auditors responsibility

The auditor's responsibility is to obtain sufficient appropriate audit evidence regarding, and conclude on, the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements and to conclude whether a material uncertainty exists about the entity's ability to continue as a going concern.

d. Risk assessment procedures

When performing risk assessment procedures as required by ISA 315, the auditor should consider whether events or conditions exist that may cast significant doubt on the entity's ability to continue as a going concern. This will involve the auditor determining whether management has already performed a preliminary assessment of the entity's ability to continue as a going concern. If such an assessment has been performed, the auditor shall discuss the following:

- the assessment with management and determine whether management has identified events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern and, if so, management's plans to address them; or
- If such an assessment has not yet been performed, the auditor shall discuss with management the basis for the intended use of the going concern basis of accounting, and inquire of management whether events or conditions exist that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern (ISA 560.10).

	**ACTION POINT** There are numerous events or conditions that, individually or collectively, cast doubt on the entity's ability to continue as a going concern. Please refer to ISA 570.A3 for a list of events or conditions.

e. Evaluating management's assessment

The following factors are relevant to the audit of management's assessment:

Evaluating management's assessment

The period covered by managements assessment	Events beyond the period of managements assessment	Management's plans future actions when conditions or events have been identified
• Should cover a period of 12 months after year end • If less then 12 months, the auditor has to request that management extend the period • If no change is made, the auditor needs to determine the impact on the audit report • See ISA 570.13-14, A8-13	• The auditor should inquire of management as to its knowledge of events or conditions beyond the period of management's assessment that may cast significant doubt on the entity's ability to continue as a going concern • See ISA 570.15, A14-15.	• The auditor has to obtain audit evidence to determine if a material uncertainty exists related to the going concern of the company • Please see ISA 570.16

Evaluating management's plans for future actions may include inquiries of management as to its plans for future action, including, for example, its plans to liquidate assets, borrow money or restructure debt, reduce or delay expenditures, or increase capital (ISA 570.A17).

i. Evaluating management's cash flow forecast

In addition to the procedures required in ISA 570 (Revised).16(c), ISA 570 (Revised). A18, the auditor may compare:

- The prospective financial information for recent prior periods with historical results; and
- The prospective financial information for the current period with results achieved to date.

Where management's assumptions include continued support by third parties, whether through the subordination of loans, commitments to maintain or provide additional funding, or guarantees, and such support is important to an entity's ability to continue as a going concern, the auditor may need to consider requesting written confirmation (including of terms and conditions) from those third parties and to obtain evidence of their ability to provide such support (ISA 570.A19).

The auditor may consider it appropriate to obtain specific written representations beyond those required in ISA 570.16 in support of audit evidence obtained regarding management's plans for future actions in relation to its going concern assessment and the feasibility of those plans (ISA 570.A20).

ii. Letter of support from group company or third party

A commitment by a group company or a third party to provide financial support may be integral to a plan that mitigates the effect of a going concern uncertainty. If a letter of support is received, consider if it:

- Is legally enforceable (consult legal counsel if necessary)
- Is irrevocable
- Is sufficient to cover the needs of the component to meet its obligations as they come due in the normal course of business
- Is valuable (i.e., able to prove that the other entity supporting the component can pay when/if called upon to do so)
- Covers the foreseeable future which is at least a year (not just a year) or the period during which there is the possible need for such support

A commitment to provide financial support from a group company or a third party would be in the form of a written communication between the parties and addressed to the directors of the entity and not to the auditors, as it is the directors who are seeking the evidence to support their conclusion regarding the appropriateness of adopting a going concern basis for preparing the accounts. The evidence of support specifically continues at least for the period covered by the going concern assessment. The commitment constitutes a *related party transaction* and may need to be disclosed in the notes to the financial statements, depending on the requirements of the applicable framework.

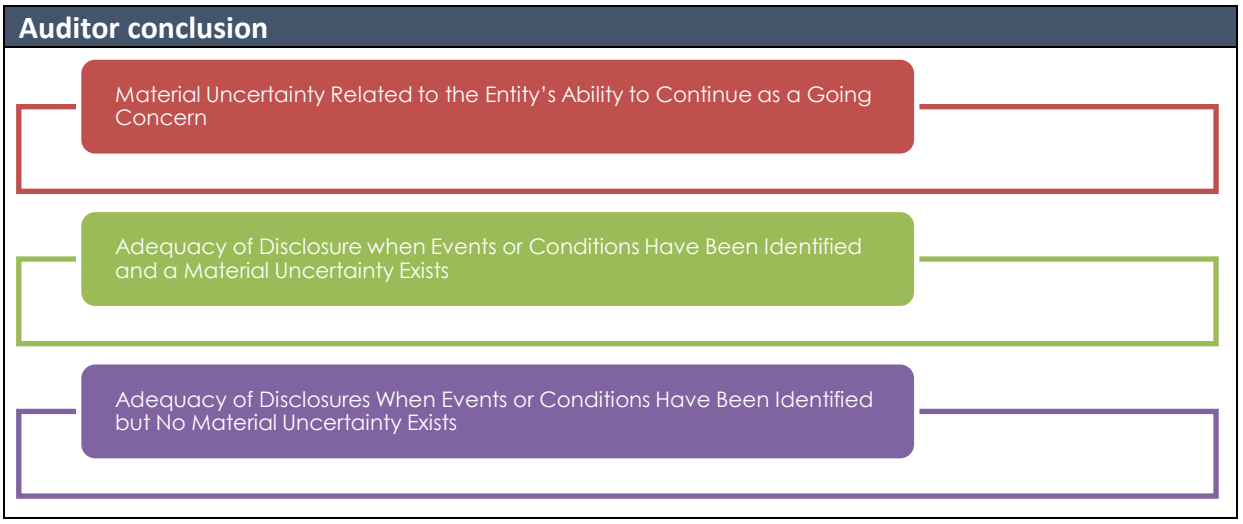
When the written communication is received:

- Request management to have the group company or the third party confirm directly to auditor the existence and details of the commitment, e.g., duration of the commitment.
- Obtain *sufficient appropriate* evidence as to the ability of the other party to fulfil the commitment. In the case of support from the group company, such evidence may be obtained either through procedure performed directly by the auditor or through procedures performed by the group auditor on our behalf.

f. Auditor conclusions

Based on the audit evidence obtained, the auditor shall conclude whether, in the auditor's judgment, a material uncertainty exists related to events or conditions that, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern.

A material uncertainty exists when the magnitude of its potential impact and likelihood of occurrence is such that, in the auditor's judgment, appropriate disclosure of the nature and implications of the uncertainty is necessary for the fair presentation of the financial statements. The auditor's considerations may be illustrated as follows:



Adequacy of disclosures when events or conditions have been identified and a material uncertainty exists:

If the auditor concludes that the use of the going concern assumption is appropriate in the circumstances but a material uncertainty exists, the auditor shall determine whether the financial statements:

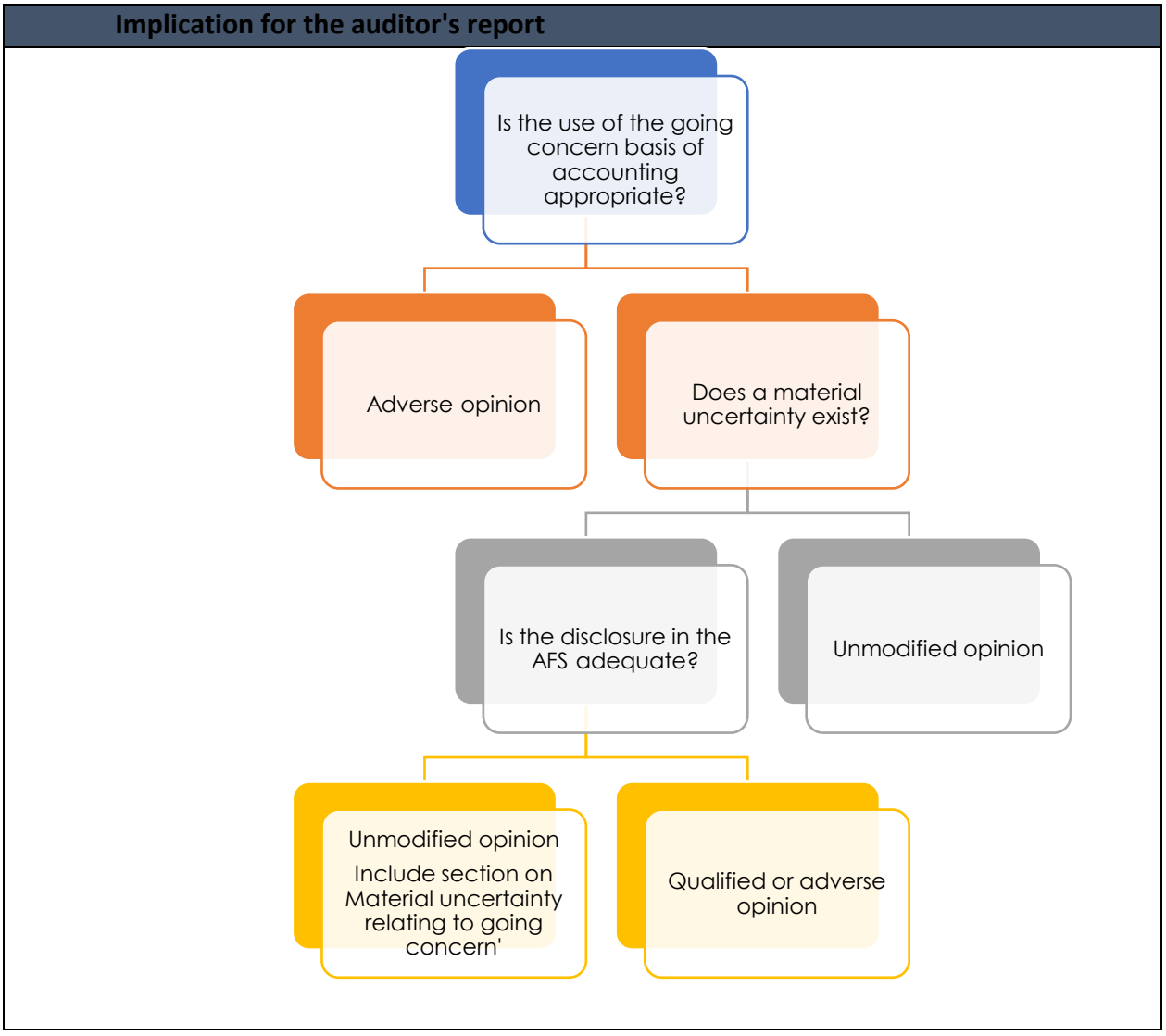
a) Adequately describe the principal events or conditions that may cast significant doubt on the entity's ability to continue as a going concern and management's plans to deal with these events or conditions; and
b) Disclose clearly that there is a material uncertainty related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern and, therefore, that it may be unable to realize its assets and discharge its liabilities in the normal course of business.

Adequacy of disclosures when events or conditions have been identified but no material uncertainty exists.

If events or conditions have been identified that may cast significant doubt on the entity's ability to continue as a going concern but, based on the audit evidence obtained the auditor concludes that no material uncertainty exists, the auditor shall evaluate whether, in view of the requirements of IAS 1, the financial statements provide adequate disclosures about these events or conditions.

g. Impact of going concern issues on the audit report

The auditor shall assess the impact of the going concern assessment on the auditor's report. The following decision tree summarises the relevant considerations (ISA 570 para 21-24):



i. **Use of the going concern basis of accounting is inappropriate:**

If the financial statements have been prepared using the going concern basis of accounting but, in the auditor's judgement, management's use of the going concern basis of accounting is inappropriate, the auditor shall **express an adverse opinion**.

ii. Use of going concern basis of Accounting appropriate but a material uncertainty exists.

a) If adequate disclosures of a material uncertainty have been made in the financial statements: (Refer to illustration 2 for example)

- The auditor shall express an unmodified opinion and the audit report shall include a separate section under the heading "Material uncertainty related to going concern". The purpose of this separate section is to:
  - Draw users' attention to the note in the financial statements that discloses the matters and
  - State that these events and conditions indicate that a material uncertainty exists that may cast significant doubts on the entity's ability to continue as a going concern and that the auditor's opinion **is not modified** in respect of the matter.

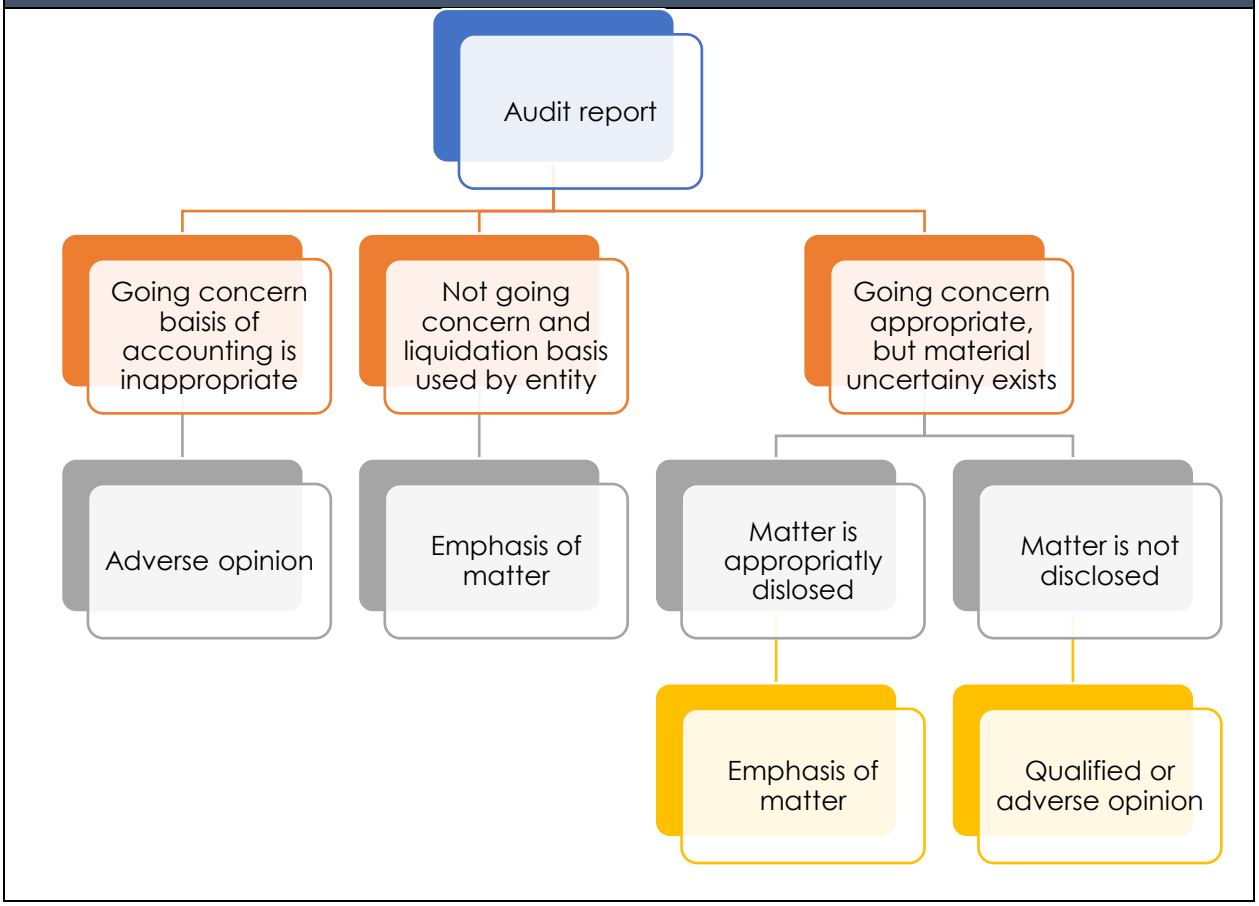
b) If adequate disclosures of a material uncertainty are not made in the financial statements: (Refer to illustration below)

- The auditor shall express a qualified opinion or adverse opinion; and
- In the basis for qualified/adverse opinion section of the auditor's report, state that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the financial statements do not adequately disclose this matter.

iii. Management unwilling to make or extend its assessment

If management is unwilling to make or extend its assessment when requested to do so by the auditor, the auditor shall consider the implications for the auditor's report

Impact of going concern issues on the auditor's report



h. Communications with those charged with governance

The auditor shall communicate with those charged with governance events or conditions identified that may cast significant doubt on the entity's ability to continue as a going concern. Such communication with those charged with governance shall include the following:

a) Whether the events or conditions constitute a material uncertainty;
b) Whether the use of the going concern basis of accounting is appropriate in the preparation of the financial statements;
c) The adequacy of related disclosures in the financial statements; and
d) Where applicable the implications for the auditor's report.

i. Examples of questions on going concern

a) You may be required to evaluate whether the use of the going concern assumption is appropriate. (You discuss both the applicable indicators as per ISA 570 and mitigating factors, and conclude)
b) Concerns regarding the going concern principle. (You discuss just the indicators.)

c) Audit procedures when there is a material uncertainty relating to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. (You base your procedures on the information in the scenario and make the procedures per ISA 570 applicable.)
d) Explain the impact on the auditor's report, when a company is not a going concern.

ISA 450: Evaluation of misstatements identified during the audit

During the performance of audit procedures, the auditor might identify certain misstatements (previously referred to as audit differences). This section deals with misstatements that the auditor identifies during the audit and how they should be dealt with and evaluated.

ISA 450 guide



Important principles	
What is the objective of the auditor in terms of ISA 450?	ISA 450 par 3. "The objective of the auditor is to evaluate: ▪ the effect of identified misstatements on the audit; and ▪ the effect of uncorrected misstatements, if any, on the financial statements."

What exactly is a misstatement?	ISA 450 par 4(a). "Misstatement – A difference between the amount, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework." *In other words, if the auditor does not agree with what is reported in the client's financials, based on what is required, a possible misstatement arises.*
What could cause misstatements?	ISA 450 par 4(a) and A1. "Misstatements can arise from error or fraud." "Misstatements may result from: ▪ an inaccuracy in gathering or processing data from which the financial statements are prepared; ▪ an omission of an amount or disclosure; ▪ an incorrect accounting estimate arising from overlooking or clear misinterpretation of facts; and ▪ judgments of management concerning accounting estimates that the auditor considers unreasonable or the selection and application of accounting policies that the auditor considers inappropriate." ISA 240 par A1 to A6. "Fraudulent financial reporting involves intentional misstatements including omissions of amounts or disclosures in financial statements to deceive financial statement users." Misstatements that arise from fraudulent activities are thus intentional acts and not as a result of error. Refer to ISA 240 par A3 to A5 for examples of fraudulent activities that could cause misstatements.
What should the auditor do with Identified misstatement?	ISA 450 par 5. "The auditor shall accumulate misstatements identified during the audit, other than those that are clearly trivial."
What is "clearly trivial"?	ISA 450 par A2. "The auditor may designate an amount below which misstatements would be clearly trivial and would not need to be accumulated because the auditor expects that the accumulation of such amounts clearly would not have a material effect on the financial statement."

	Note: It is NOT the same as "not material". When in doubt, the matter is considered NOT to be clearly trivial!
To whom should the auditor communicate the misstatements?	ISA 450 par 8, 9, A7 to A10. "The auditor shall communicate on a timely basis all misstatements accumulated during the audit with the appropriate level of management, unless prohibited by law or regulation." Note: • If management corrects all misstatements, it reduces the risk of material misstatements of current and future AFS. ▪ In this communication the auditor shall distinguish between factual, judgmental and projected misstatements. ▪ Should management refuse to correct these communicated misstatements, the auditor must understand what the reasons are and if this could result in the AFS not being fairly presented. **Management is responsible for making corrections, NOT the auditor!** ▪ Consider the effect on the fair presentation of the AFS.

j. Steps to be taken to determine whether identified misstatements are material

Step 1:
State the given materiality.

Step 2:
Identify possible misstatements during the performance of audit procedures.

Step 3:
Accumulate these identified misstatements.

Step 4:
Determine (and document) an amount below which misstatements would be "clearly trivial" and remove these from the accumulated misstatements.

Step 5:
Discuss whether each of the individual misstatement is quantitatively material by comparing them to the materiality figure. Distinguishing between:

- factual misstatements;
- judgmental misstatements; and
- projected misstatements.

Step 6:
Discuss whether the misstatements are quantitatively material in aggregate. This will require students to draw a table showing the aggregate effect on the misstatements and to compare these misstatements to the materiality figure. The following headings should be in the table:

- Current and non-current assets;
- Current and non-current liabilities; and
- Net profit before tax.

Step 7:
Discuss whether the misstatements are qualitatively material.
The following would be material:

- Non-compliance with legislation;
- Non-compliance with IFRS and
- Misstatements that undermine key ratios.
- Misstatements due to fraud by management

The following would also be considered:

- Management's unjustified refusal to adjust misstatement;

- Management's apparent bias to overstate profit or financial performance; and
- Whether misstatements are "hard" or "soft" (i.e. how much judgment is involved).

ISA 580: Written representations

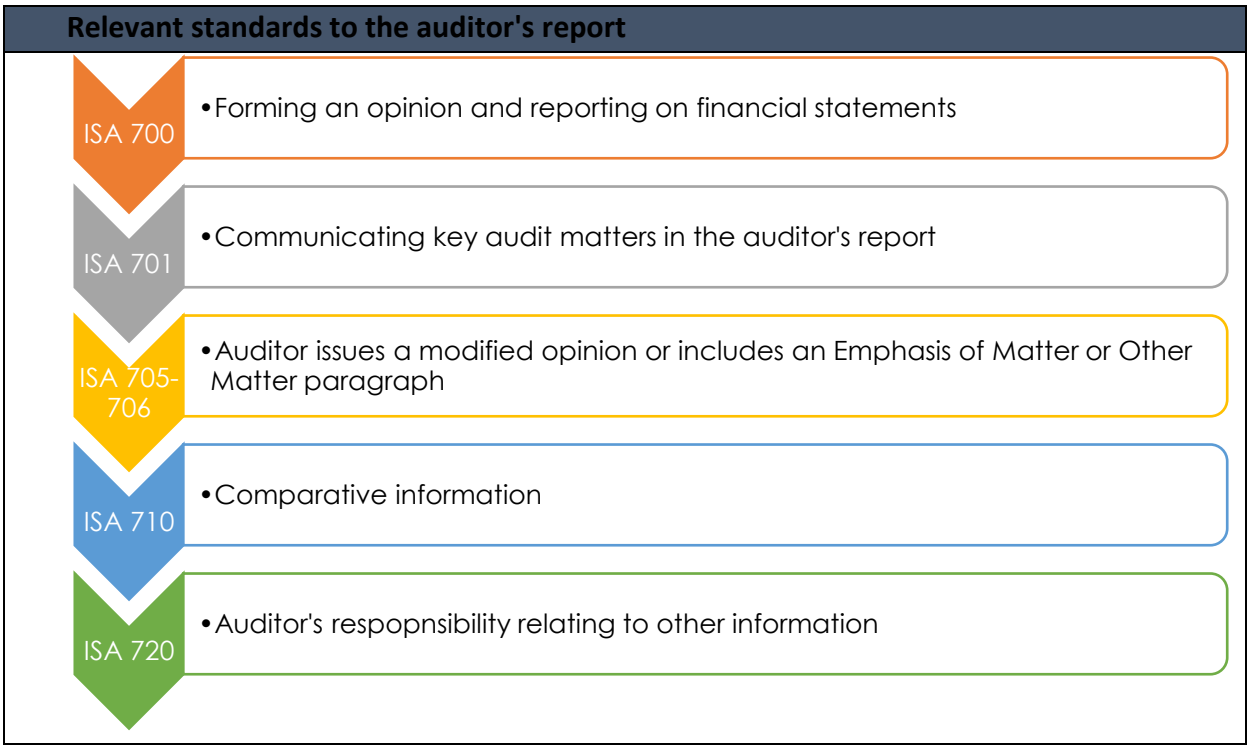
As discussed earlier, an auditor may need to obtain management representations about identified control deficiencies and misstatements. ISA 580 provides relevant guidance.



ISA 700: (Revised) Audit Reporting

The objective of the auditor is to form an opinion on the financial statements based on the conclusions reached from the audit evidence obtained and to express the opinion clearly through a written report. ISA 700 is written in the context of a complete set of general purpose financial statements. ISA 800 deals with special considerations when financial statements are prepared in accordance with a special purpose framework. ISA 805 deals with special considerations relevant to an audit of a single financial statement or a specific element, account or item of the financial statements.

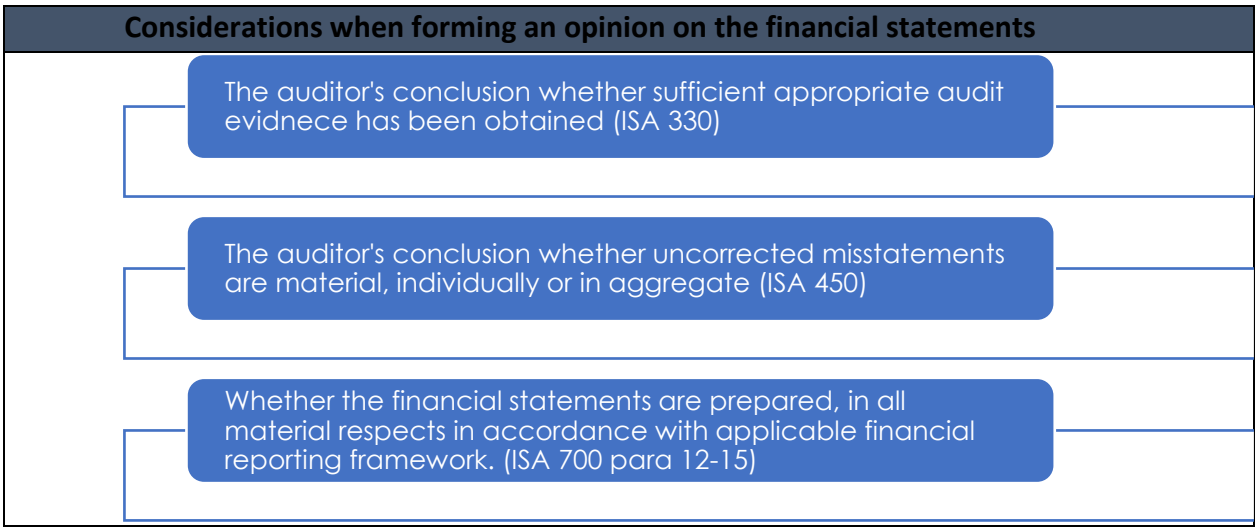
The following standards are relevant to the issue of the audit report:



k. Forming an opinion on the financial statements

The auditor shall form an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework.

To form that opinion, the auditor shall consider the following:



Before drafting the auditor's report, the auditor shall consider whether uncorrected misstatements are material either individually or in aggregate. ISA 450 deals with the auditor's responsibility to evaluate the effect of identified misstatements on the audit and of uncorrected misstatements, if any, on the financial statements.

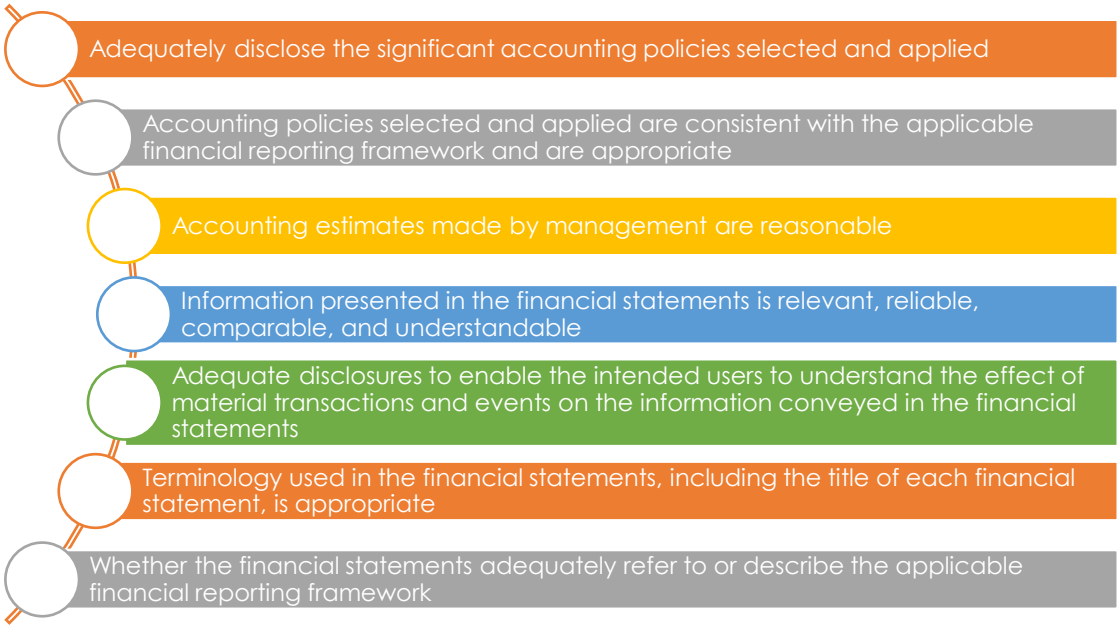
l. Drafting the auditor's report

The auditor shall form an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework (ISA 700 para 10). In addition to considering the conclusions reached as to whether sufficient appropriate audit evidence has been obtained and whether uncorrected misstatements are material individually or in aggregate, the auditor shall also consider whether the financial statements are prepared, in all material respects in accordance with the applicable financial reporting framework. In Zimbabwe this would usually be IFRS or IFRS for SMEs.

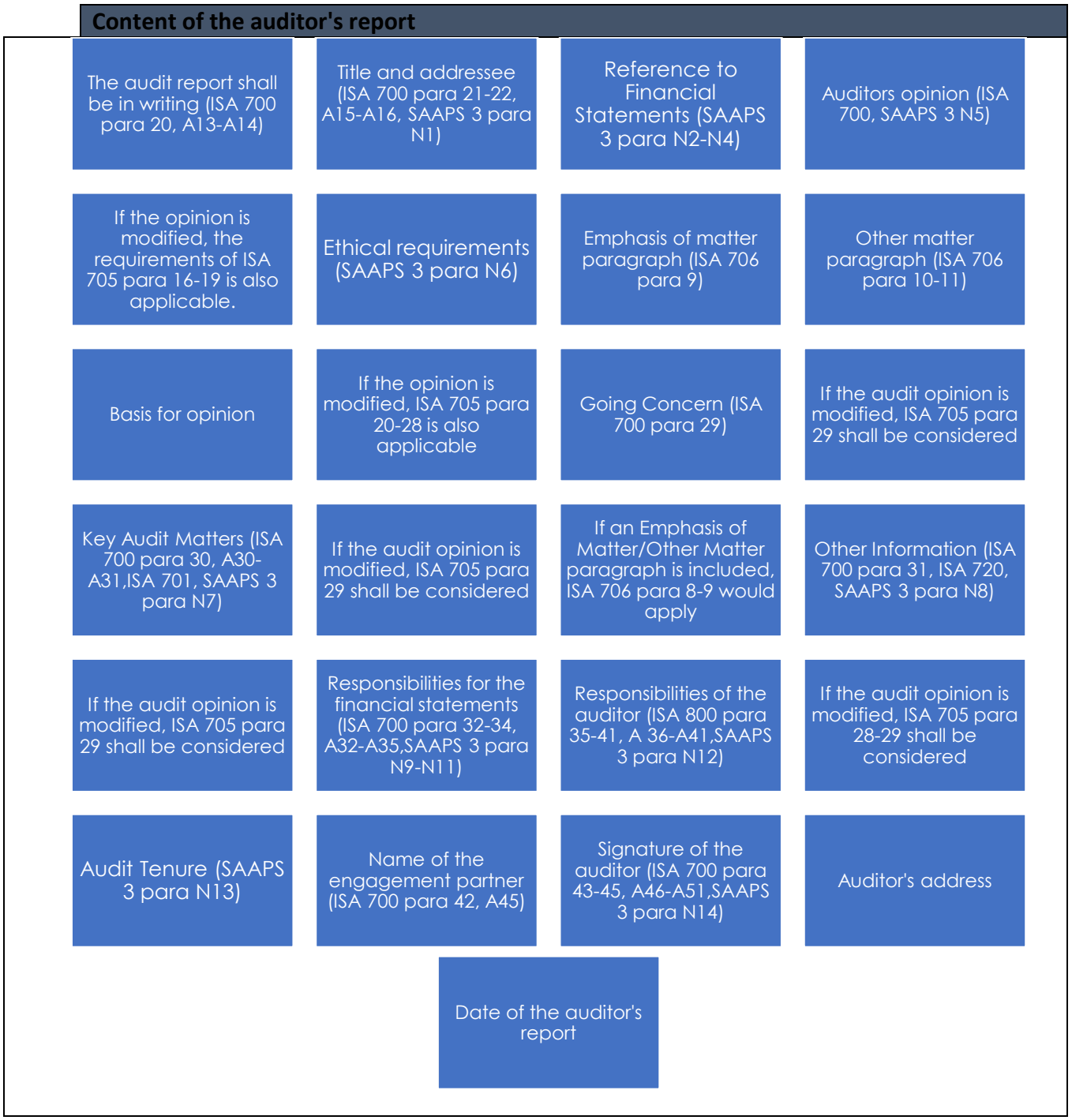
The evaluation of whether the financial statements are prepared, in all material respects in accordance with the applicable financial reporting framework considers not only quantitative disclosures but also qualitative disclosures and aspects (ISA 700 para 12)

The auditor shall evaluate the following, in view of the requirements of the applicable financial reporting framework (ISA 700 para 12-15):

Evaluation in view of requirements of the applicable financial reporting framework



m. Content of the auditor's report (next page)



n. Changes to the audit reports in recent times

Why has the Auditor's Report changed?	• Responding to the world economic crisis, users of audited financial statements institutional investors and financial analysts, called for more pertinent information for their decision making. • The auditor's report is the key deliverable addressing the output of the audit process. Investors and other users of financial statements have called for auditors to provide more relevant information to users based on the audit that was performed. • Ability to focus on those "important/most significant matters" that were of concern in concluding whether the financial statements are free from material misstatement. Early warning of potential issues relating to going concern • The auditor's opinion is valued but ○ More entity-specific and relevant information is required; and ○ More information about the audit that has been performed • Users used to be provided which was the auditor's opinion on the financial statements, but there existed an information gap and additional context was required to understand message. • This could be resolved easily as the auditor has independent insight, applies a risk-based approach, and already communicates significant findings from the audit to TCWG wherein material matters have to be resolved, otherwise modification of the auditor's report
What are the intended benefits of this change?	• Increases confidence in the audit and the financial statements • Increases transparency and enhanced informational value of the auditor's report • Enhanced communications between investors and the auditor, as well as the auditor and those charged with governance • Increased attention by management and those charged with governance to the disclosures in the financial statements to which reference is made in the auditor's report

	• Renewed focus of the auditor on matters to be communicated in the auditor's report, which could indirectly result in an increase in professional scepticism
Affected parties	• Auditors • Preparers • Investors • Regulators • Analysts • Providers of Finance • Creditors
Main Changes	• Mandatory for audits of financial statements of listed entities, voluntarily application allowed for entities other than listed entities • New section to communicate key audit matters – see ISA 701. • KAMs are those matters that, in the auditor's judgement, were of most significance in the audit of the current period financial statements. • Disclosure of the name of the engagement partner. • For all audits: o Opinion section required to be presented first, followed by the Basis for Opinion section, unless law or regulation prescribe otherwise o Enhanced auditor reporting on going concern, including: Description of the respective responsibilities of management and the auditor for going concern o A separate section when a material uncertainty exists and is adequately disclosed, under the heading "Material Uncertainty Related to Going Concern" o New requirement to challenge adequacy of disclosures for "close calls" in view of the applicable financial reporting framework when events or conditions are identified that may cast significant doubt on an entity's ability to continue as a going concern. o Affirmative statement about the auditor's independence and fulfilment of relevant ethical responsibilities, with disclosure of the jurisdiction of origin of those requirements or reference to the

	International Ethics Standards Board for Accountants' *Code of Ethics for Professional Accountants* ○ Enhanced description of the auditor's responsibilities and key features of an audit. Certain components of the description of the auditor's responsibilities may be presented in an appendix to the auditor's report or, where law, regulation or national auditing standards expressly permit, by reference in the auditor's report to a website of an appropriate authority.



For more information, please use the references below

The above information was adapted from the following sources:

- https://www.iaasb.org/new-auditors-report
- http://www.accountancysa.org.za/special-feature-the-new-auditors-report/
- https://www.ifac.org/system/files/uploads/IAASB/Auditor-Reporting-Fact-Sheet.pdf

Summary of the Key Changes:



o. Modifications to the audit Report – ISA 705

The following table from ISA 705 can be used to describe the different modifications that can be made to an audit report. Please refer to ISA 705.A1

Nature of matter giving rise to the modification	**Auditor's judgement about the pervasiveness of the effects or possible effects on the financial statements**	
	Material but not pervasive	Material and pervasive
Financial statements are materially misstated	*Qualified*	*Adverse*
Inability to obtain sufficient appropriate audit evidence – limitation of scope	*Qualified*	*Disclaimer*

Qualified opinion

- When is a qualified opinion required - ISA 705.7
- Form and content of the auditors report when the opinion is modified - ISA 705.17, A20

Disclaimer of opinion

- When is a qualified opinion required - ISA 705.9-10
- Form and content of the auditors report when the opinion is modified - ISA 705.16

Adverse opinion

- When is a qualified opinion required - ISA 705.8
- Form and content of the auditors report when the opinion is modified - ISA 705.18

	**Basis for the opinion** **Once the auditor modifies the opinion, ISA 705 requires certain changes to the format of the auditor's report. This is discussed in detail in the ISA. Please refer to ISA 705.20-30, A21-27.** **Furthermore, the ISA has illustrative examples in the appendix. Please review the examples.**

i. Key Definitions

Pervasive: A term used, in the context of misstatements, to describe the effects on the financial statements of misstatements or the possible effects on the financial statements of misstatements, if any**,** that are undetected due to an inability to obtain sufficient appropriate audit evidence. Pervasive effects on the financial statements are those that, in the auditor's judgment:

(i) Are not confined to specific elements, accounts or items of the financial statements;
(ii) If so confined, represent or could represent a substantial proportion of the financial statements; or
(iii) In relation to disclosures, are fundamental to users' understanding of the financial statements.

Modified opinion – A qualified opinion, an adverse opinion or a disclaimer of opinion.

ii. Explanation of audit opinions

ISA 700	**ISA 705**		
Unmodified	**Qualified**	**Adverse**	**Disclaimer**
Financial statements are fairly presented In all material respects.	"Except for ... financial Statements are fairly presented" (certain accounts/classes of transaction are materially misstated) Expressed when there are disagreements or uncertainties that are not **pervasive.** 2 paragraphs: ▪ Basis for qualified opinion; ▪ Qualified opinion.	"Financial statements are not fairly presented." 2 paragraphs: ▪ Basis for adverse opinion; ▪ Adverse opinion (note the definition of pervasive in par5 (a)). Expressed when there are pervasive disagreements.	"We do not express an opinion on the financial statements" 2 paragraphs ▪ Basis for disclaimer of opinion; ▪ Disclaimer of opinion. Expressed when there is a pervasive uncertainty.

iii. Determining whether misstatements or uncertainties are pervasive

Misstatements and uncertainties will be pervasive if they (ISA 705 par 5a):

1. Are confined to a single account or whether they affect the financial statements as whole;
2. Represent a substantial portion part of the financial statements (as may be the case with a misstatement of revenue); or
3. Are so significant that they are fundamental to a user's interpretation of financial statements.

Refer to the ISA 705 appendix for illustration 1 to 5

p. **ISA 706: Emphasis of matter paragraphs and other matter paragraphs**

An emphasis of matter paragraph is used to draw users' attention to a matter or matters presented or disclosed in the financial statements that are of such importance that they are fundamental to users' understanding of the financial statements or is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.

The placement of the Emphasis of Matter and Other Matter paragraphs in the Auditor's report is discussed in para A 16-A17 of ISA 706.

ISA 706 **Emphasis of matter and other matter paragraphs can be an addition to any of the above opinions**	
Emphasis of matter (par 6 t0 7)	**Other matter (par 8)**
▪ The matter being emphasised should not be materially misstated in the financial statements. ▪ You only emphasise information that is disclosed or presented in the financial statements. **Examples when emphasis of matter paragraph may be used:** ▪ There is a material uncertainty about the client's ability to continue as a going concern that has been disclosed in the financial statements; ▪ There is a significant uncertainty, the resolution of which depends on future events and which may affect the financial statement, where such a contingency has been disclosed in the financial statements;	▪ This emphasises information not required to be disclosed or presented in the financial statements, but relevant to a users understands of the audit.

- Both these paragraphs are not a substitution for any modification (by the auditor as per ISA 705) or disclosures required to be made (by management).
- They do not affect the auditor's opinion; therefore they are included (if applicable) in addition to the opinion that the auditor expresses (i.e. after the relevant opinion paragraph).

ISA 701: Communicating key audit matters

Introduction

The purpose of communicating key audit matters is to enhance the communicative value of the auditor's report by providing greater transparency about the audit that was performed. Communicating key audit matters provides additional information to intended users of the financial statements to assist them in understanding those matters that, in the auditor's professional judgement, were of most significance in the audit of the financial statements of the current period.

It is key to note that communication of key audit matters in the auditor's report is not:

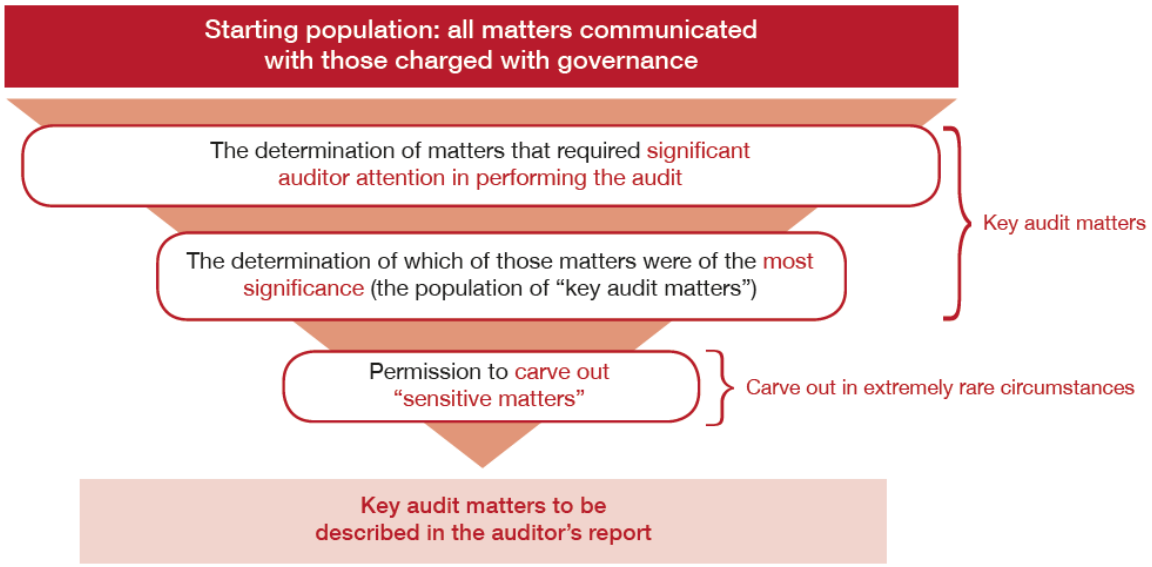
a) A substitute for disclosures that are required in the financial statements;
b) A substitute for the auditor expressing a modified opinion when required by the circumstances of a specific audit engagement;
c) A substitute for reporting in accordance with ISA 570 (revised); or
d) A separate opinion on individual matters.

ISA 701 applies to audits of **listed entities** or when the auditor is required by law or regulation to communicate key audit matters in the auditor's report.

i. Key definition

Key audit matters (KAMs): Those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements for the current period. KAMs are selected from matters communicated with those charged with governance.

ii. How are KAMs determined? Par 9 – 10



iii. Communicating KAMs – par 11

The auditor shall describe each KAM, using an appropriate subheading, in a separate section of the auditor's report under the heading **"Key Audit Matter".**

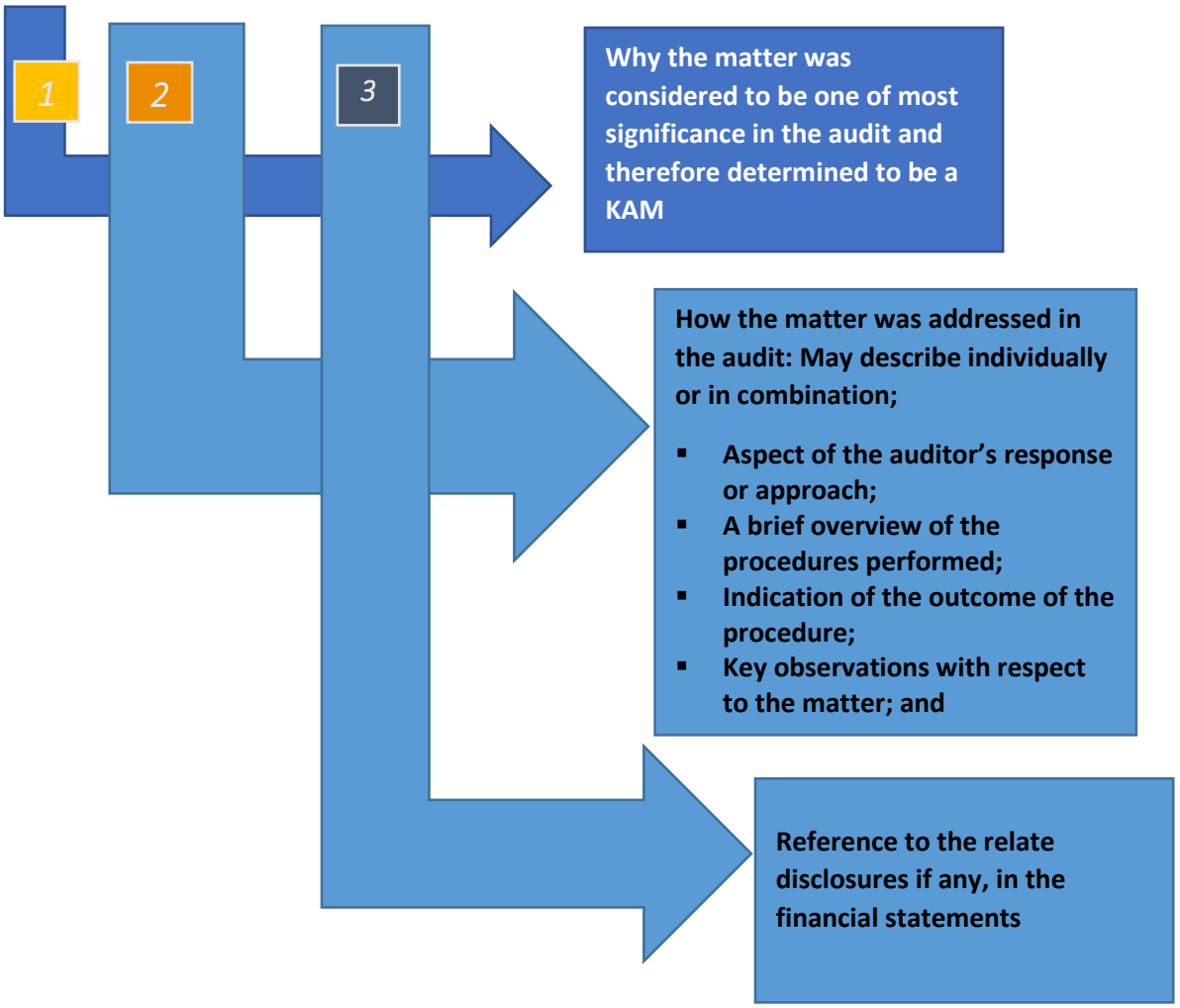
Does the auditor have an option not to include identified KAMs in the audit report?

There are some situations (for "sensitive matters") in which the auditor would not be required to disclose a matter:

- if law or regulation precludes it, or,
- in extremely rare circumstances, where the adverse consequences of public communication of a matter would reasonably be expected to outweigh the public interest benefits.

1. Describing KAMs in the audit report

The description of a KAM in the audit report is required to include



iv. How many KAMs will be reported in the audit report?

The auditing standards neither prescribe the number of KAMs that should be reported nor provide a suggested range of number of KAMs. KAMs are selected based on the auditor's professional judgment.

The standards state that the greater the number of KAMs that are initially determined, the more auditor should reconsider which of those matters were of most significance to the audit.

v. What happens if the auditor does not identify any KAMs?

IAS 701 envisages that this will be rare: The determination of KAMs involves making a judgment about the relative importance of matters that required significant auditor attention.

The audit report must still contain a "**Key audit matters**" section which must state that the auditor has determined that there are no key audit matters. Audit documentation must include the rationale for the auditor's determination that there are no key audit matters to communicate in the auditor's report.

vi. Determining how to modify the audit report

1. Determine whether misstatements are material (see above);

2. Determine whether material misstatements are pervasive (see above);

3. Determine whether the going concern assumption is appropriate;

4. Consider whether there is any material uncertainty and whether such an uncertainty is pervasive (see above);

5. Conclude on the type of audit opinion that should be given, based on the above;
6. Consider whether an emphasis of matter paragraph is required; and
7. Consider whether a legal and other matters paragraph is required.

q. Integrated example

You are the quality control review partner on the audit of Davnan Destroyers Limited for the year ended 30 June 2017, a company which is hired for the demolishing of buildings, the cleaning up of the site area, as well as the rebuilding of the subsequent property. Your firm is also engaged to audit all the subsidiaries of Davnan Destroyers Limited. As part of your responsibilities you review the key audit matters submitted by the audit teams of each of the subsidiaries and independently assess what type audit opinion

should be given. This is done as a check to ensure that the audit partners of the subsidiaries are issuing the correct opinions.
For each of the matters described by the respective audit teams below, state whether they would constitute key audit matters and impact on the audit report? You may assume that the matters below are the only significant audit matters at each subsidiary.

NB!! Answers to the example will be provided during Block 4 lectures.

	KEY AUDIT MATTER	ANSWER
1	The consolidated financial statements of the Davnan Destroyers Group have been prepared using the going concern basis of accounting. Management neither intends to liquidate the Group or to cease its operations. As part of our audit of the consolidated financial statements of the Davnan Destroyers Group, we have concluded that management's use of the going concern basis is appropriate as they have not identified a material uncertainty that may cast significant doubt on the Group's ability to continue as a going concern. We also have not identified such a material uncertainty. However, neither management nor the auditor can guarantee Davnan Destroyer's ability to continue as a going concern.	
2	Davnan Destroyers Limited have produced an Integrated Annual Report which contains information on Davnan Destroyer's financial performance and position, its operations, its sustainability, its relationships with employees and the larger community as well as its corporate social responsibility. This annual integrated report is in line with the requirements of King III and the GRI Index.	
3	The financial statements of Davnan Equipment Limited, a company that provides the equipment needed to demolish the buildings, are materially misstated due to the bulldozers not being depreciated over an appropriate useful life (as determined by our audit procedures). These bulldozers are considerably material due to the nature of the use of the asset, and comprise over 70% of the company's PPE.	
4	Davnan Payroll (Pty) Limited, the entity in charge of the HR functionality, produces financial statements in accordance	

	with the IFRS for SMEs. We have not identified any material misstatements during the audit of this entity.	
5	During the financial year, Davnan Destroyers Group completed the acquisition of Cement Business Ltd. As of December 31, 2016, the Group has completed the initial acquisition accounting on a preliminary basis. The Group will finalize the initial acquisition accounting during 2017, and the amounts recorded as of December 31, 2016 could change. We focused on this transaction because it is material to the consolidated financial statements as a whole. In addition, determining the assumptions that underlie the initial acquisition accounting and the useful lives associated with the acquired intangible assets involves significant management judgment given the nature of the Cement Industry.	
6	The terms and conditions of the long-term contracts of Davnan's Client Services affect the revenue which the Group recognizes in a period, and the revenue from such contracts represents as a material amount of the Group's total revenue. The process to measure the amount of revenue to recognize in the construction industry, including the determination of the appropriate timing of recognition, involves significant management judgment. We identified revenue recognition of long-term contracts as a significant risk requiring special audit consideration because side agreements may exist that effectively amend the original contracts, and such side agreements may be inadvertently unrecorded or deliberately concealed and therefore presents a risk of material misstatement due to fraud. Based on the audit procedures performed to address this risk, we did not find evidence of the existence of side agreements. However, material uncertainty still exists over the judgements used by management.	
7	The directors of Davnan Treasury (Pvt) Ltd have refused to sign the management representation letter if the paragraph relating to management's responsibilities regarding fraud is not removed. We do not intend removing the paragraph.	

8	A material amount of Davnan Canteen (Pvt) Ltd revenue comprises cash sales, over which there is no system of internal control on which we could rely for the purpose of our audit. There were no other satisfactory audit procedures that we could adopt to satisfy ourselves that the cash revenue was free from material misstatements.	
9	Davnan Risk Management Ltd use structured financial instruments in hedging their forex risk as many materials are imported from overseas for their operations. The Group's investments in structured financial instruments represent 84% of the total amount of its financial instruments. Because the valuation of the Group's structured financial instruments is not based on quoted prices in active markets, there is significant measurement uncertainty involved in this valuation. As a result, the valuation of these instruments was significant to our audit. The Group has determined it is necessary to use an entity-developed model to value these instruments, due to their unique structure and terms. We challenged management's rationale for using an entity-developed model, and discussed this with those charged with governance, and we concluded the use of such a model was inappropriate.	
10	A fire at the Davnan Admin (Pty) Ltd computer centre destroyed many of the accounting records and related documents. Davnan Admin had not made back-ups of the destroyed information. The financial statements consequently include significant amounts based on estimates. We were unable to carry out appropriate audit procedures to obtain sufficient and appropriate audit evidence over these estimates. We could not determine the effect of adjustments on the financial statements.	

ISA 710: Auditor's responsibilities with respect to comparative Information

Key definitions – par 6

Comparative information - The amounts and disclosures included in the financial statements in respect of one or more prior periods in accordance with the applicable financial reporting framework.

Corresponding figures – comparative information where amounts and other disclosures for the prior period are included as an integral part of the current period financial statements, and are intended to be read only in relation to the amounts and other disclosures relating to the current period.

Comparative financial statements – comparative information where amounts and other disclosures for the prior period are included for comparison with the financial statements for the current period but, if audited, are referred to in the auditor's opinion.

Focus point:

Therefore what are the auditors reporting responsibilities with the regards the above if it is included as part of the audited financial statements?

i. Corresponding figures: par 11-14

When corresponding figures are presented, **the auditor's opinion shall not** refer to the corresponding figures except in the circumstances described in below:

- If the auditor's report on the prior period, as previously issued, included a qualified opinion, a disclaimer of opinion, or an adverse opinion and the matter which gave rise to the modification is unresolved, the auditor shall modify the auditor's opinion on the current period's financial statements.
- If the auditor obtains audit evidence that a material misstatement exists in the prior period financial statements on which an unmodified opinion has been previously issued, and the corresponding figures have not been properly restated or appropriate disclosures have not been made, the auditor shall express a qualified opinion or an adverse opinion in the auditor's report on the current period financial statements, modified with respect to the corresponding figures included therein.

If the financial statements of the prior period were audited by a predecessor auditor and the auditor is not prohibited by law or regulation from referring to the predecessor auditor's report on the corresponding figures and decides to do so, the auditor shall state in an Other Matter paragraph in the auditor's report:

- That the financial statements of the prior period were audited by the predecessor auditor;
- The type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefore; and
- The date of that report.

If the prior period financial statements were not audited, the auditor shall state in an Other Matter paragraph in the auditor's report that the corresponding figures are unaudited.
Such a statement does not, however, relieve the auditor of the requirement to obtain sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements.

ii. Comparative financial statements – par 15-19

When reporting on prior period financial statements in connection with the current period's audit, if the auditor's opinion on such prior period financial statements differs from the opinion the auditor previously expressed, the auditor shall disclose the substantive reasons for the different opinion in an Other Matter paragraph in accordance with ISA 706.

Prior Period Financial Statements Audited by a Predecessor Auditor
If the financial statements of the prior period were audited by a predecessor auditor, in addition to expressing an opinion on the current period's financial statements, the auditor shall state in an Other Matter paragraph:

- that the financial statements of the prior period were audited by a predecessor auditor;
- the type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefore; and
- the date of that report.

Prior Period Financial Statements Not Audited

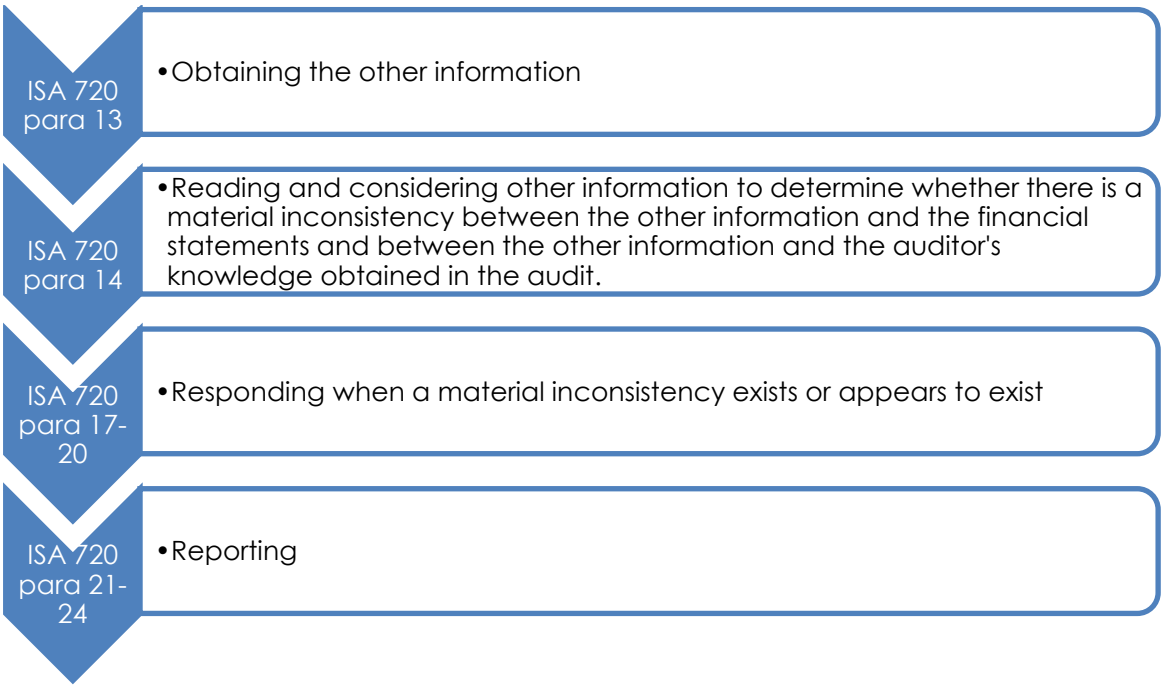
If the prior period financial statements were not audited, the auditor shall state in an Other Matter paragraph that the comparative financial statements are unaudited.

The auditor shall read the other information to identify material inconsistencies, if any, with the audited financial statements.
If, on reading the other information, the auditor identifies a material inconsistency, the auditor shall determine whether the audited financial statements or the other information needs to be revised.
If revision of the audited financial statements is necessary and management refuses to make the revision, the auditor shall modify the opinion in the auditor's report in accordance with ISA 705.

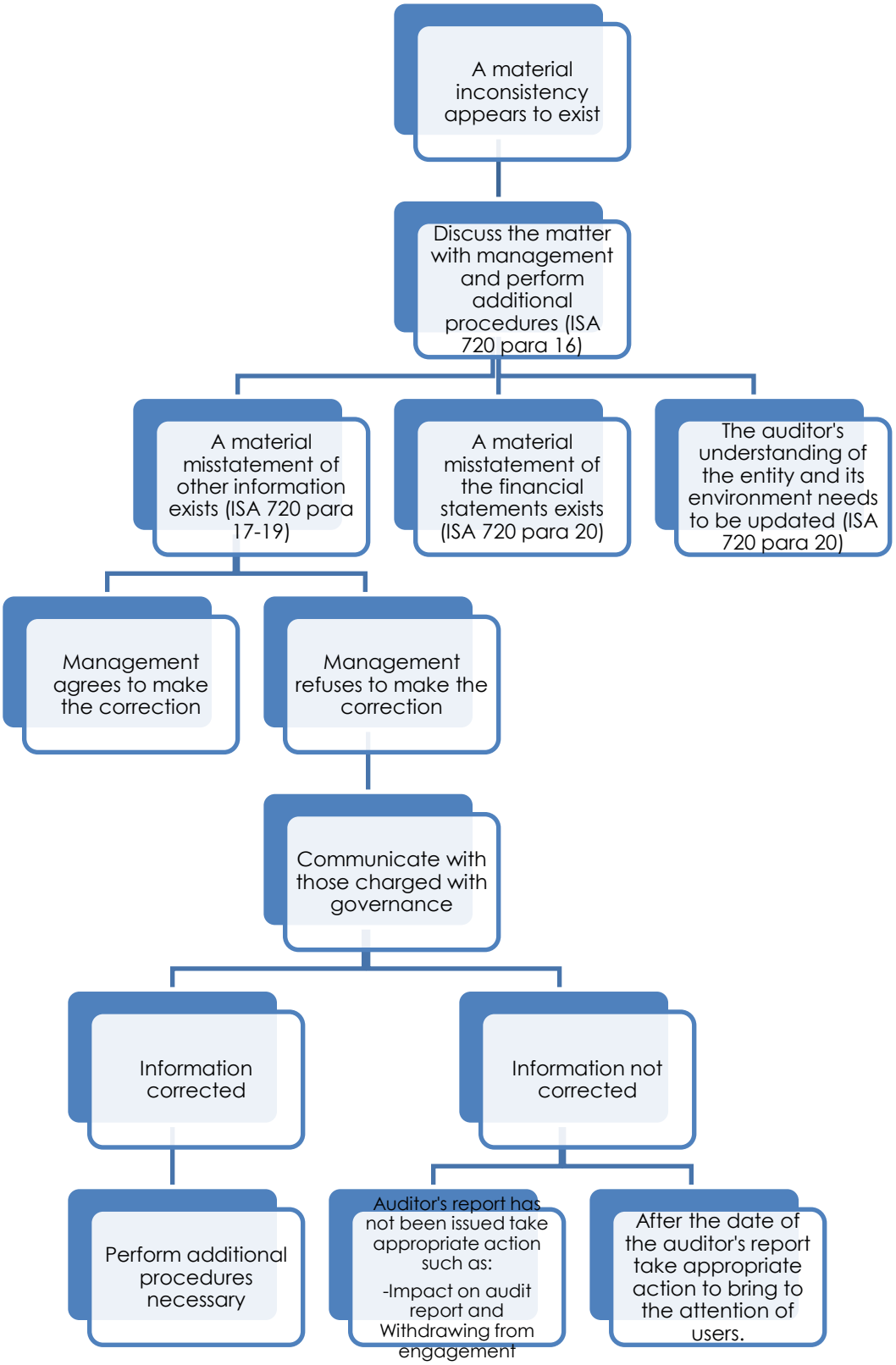
ISA 720: The auditor's responsibilities relating to other information in documents containing audited financial statements.

Focus point

The following requirements apply relating to other information:



The auditor is also required to remain alert to for other indications that the other information may be materially misstated including differences between the other information and the general knowledge of the auditor and other internal inconsistencies.



PRACTICE QUESTIONS

Question 1: Refer to scenario in study Unit A

Required: Discuss fully the impact of the audit Issues 1 to 3 on the Audit opinion to be issued on the financial statements of PropMAX. (Assume management refuses to make any adjustments). **20 Marks**

Solution

<table>
<tr><th>Discuss fully the impact of the audit Issues 1 to 3 on the Audit opinion to be issued on the financial statements of PropMAX. (Assume management refuses to make any adjustments).</th><th>Marks</th></tr>
<tr><td>Issue 1</td><td></td></tr>
<tr><td>The quantum of the misstatement found, resulting from the testing, of $89 100 ($63 700 + $25 400) represents a factual misstatement, as it can be presumed that the relevant source documentation will substantiate the misstatement found.</td><td>2</td></tr>
<tr><td>However, this amount is below materiality of $200 000.</td><td>1</td></tr>
<tr><td>Thus, the $89 100 needs to be taken to the schedule of overs and overs.</td><td>1</td></tr>
<tr><td>We then need to look at the projected misstatement, as only a sample of the population was tested.</td><td>1</td></tr>
<tr><td><table>
<tr><th></th><th>Population A</th><th>Population B</th></tr>
<tr><td>Total numbers of debtors</td><td>4 850</td><td>12600</td></tr>
<tr><td>Total Value of debtors</td><td>3 668 570</td><td>1 590 000</td></tr>
<tr><td>Confirmations sent</td><td>485</td><td>630</td></tr>
<tr><td>Value of debtors sampled ($)</td><td>395 045</td><td>86 132</td></tr>
<tr><td>Total replies</td><td>480</td><td>22</td></tr>
<tr><td>Value of misstatements</td><td>63 700</td><td>25 400</td></tr>
</table></td><td></td></tr>
<tr><td>The projected misstatement over population A is 591 457.75 (395 045/3 668 570 = 0.1077 63 700/0.1077 = 591 457.75)</td><td>1</td></tr>
<tr><td>The projected misstatement over population B is 468 634.69 (86 132/1 590 000 = 0.0542. 25 400/0.0542 = 468 634.69)</td><td>1</td></tr>
<tr><td>Therefore, the total misstatement is 1 060 092.44, which exceeds the materiality figure of $200 000 and is thus quantitatively materials.</td><td>1</td></tr>
<tr><td>But, since this is only a projected misstatement and cannot be substantiated by reference to anything more than an extrapolation, management are again within their rights to refuse to make any changes.</td><td>1</td></tr>
<tr><td>More audit work needs to be done on the remaining debtors to determine the quantum of the errors over the entire population.</td><td>1</td></tr>
<tr><td>Issue 2</td><td></td></tr>
<tr><td>The issue to be decided is whether this issue represents a factual misstatement, and thus needs to be changed.</td><td>1</td></tr>
<tr><td>This is a provision and therefore an estimate of $550 000 is needed to be raised in the books.</td><td>1</td></tr>
<tr><td>Although management’s estimate of $440 000 is overly conservative, it appears unlikely that there has been a specific contravention of IFRS.</td><td>1</td></tr>
<tr><td>The difference between management’s estimate and that of the expert is $100 000 which is below materiality.</td><td>1</td></tr>
</table>

Further discussion should be carried out with management to understand their reasoning because of the subjective nature of the error. (	**1**
Therefore, management are well within their rights to not make any adjustments regarding this issue. However, the amount will be taken to the schedule of overs and overs as this represents a misstatement, even though it is an estimated amount.	**2**
Issue 3	
The Chairman's Report does not form part of the Annual Financial Statements. Accordingly, we are not expressing an opinion thereon.	**1**
However, the effect of any misstatements therein needs to be considered when a material inconsistency comes to light, as is the case here.	**1**
It needs to be determined where the inconsistency lies. If the error is in the Financial Statements then this would represent a qualitatively material misstatement as Earnings per Share is an important ratio used by shareholders to aid the understanding of a company's performance.	**2**
Thus, management would be required to make the necessary adjustments to the Financials before they are issued.	**1**
If this was not done, the Audit Report would have to be qualified.	**1**
If the error lies in the Chairman's Report, then we would ask management to make the necessary corrections.	**1**
If this was not done, we would have to include an "Other Matter" paragraph detailing his material inconsistency.	**1**
We should also consider our continued association with the client in light of the above.	**1**
Conclusion	
We have two misstatements that have arisen.	**1**
Since management has refused to adjust, the audit opinion will have to be qualified.	**1**
Schedule of overs and unders is aggregated with other misstatements (no other information given in question) to evaluate whether the misstatements in total are material. This in order to determine the pervasiveness of the misstatements.	**2**

Schedule of Overs and Unders

	Assets	**Liabilities**	**SOCI and P&L**
Accounts Receivable	-891 000		
Provision		1000 000	

2

The provision is a judgmental amount, and in addition, it is certain that, without any additional work being done on the accounts receivable, the two misstatements are not pervasive and thus the audit opinion issued would not be adverse, only qualified.	**2**
The qualified opinion would be an except for qualification.	**1**
Max	**20**
Available	**35**

Question 2

BACKGROUND INFORMATION

You are an audit manager at Rainbow Chartered Accountants (Rainbow), a firm of Registered Auditors, responsible for the audit of Macrosoft Limited (Macrosoft) for the year ended 28 February 2016. Macrosoft is a Zimbabwean company that develops, manufactures, and sells computer software, consumer electronics and personal computers. Macrosoft was founded in 1975 by the Chief Executive Officer (CEO), Mr Steven Oswald, and has since grown into the world's largest software developer.

The company is listed on both the Zimbabwe Stock Exchange and New York Stock Exchange. The board of directors requested your firm that the audit report needs to be signed-off on 19 May 2016 as they have approved a share issue to all existing shareholders on 30 June 2016.

The final materiality figure is set at $1 800 000.

MATTERS THAT ARE RELEVANT TO THE AUDIT

During September 2015, Macrosoft's share price dropped by 15% and has not yet recovered. This was caused by its second-quarter report raising concerns amongst the investors on the poor financial results of both the Doors 10 operating system (Doors 10) and the Macrosoft Extraordinary tablet. The losses made on the sales of the Macrosoft Extraordinary tablet is due to very strong competition in the market and as a result management is considering ceasing the operations of this product.

Macrosoft launched its long awaited, Doors 11 operating system (Doors 11) on 15 January 2016. This operating system is designed to be more user-friendly and have enhanced functionalities which includes, scheduling tasks more efficiently, increased processor time and larger storage space when compared to its previous version, Doors 10. Management is confident that sales of the Doors 11 would increase software sales significantly and within the next 12 months turn the net loss position in the financial statements into a net profit position.

On 31 January 2016, Mr Steven Oswald announced his resignation as CEO of Macrosoft. His resignation was with immediate effect and was due to medical reasons. The boards of directors, as well as the rest of Macrosoft's stakeholders were surprised by the sudden announcement. The financial director, Mr Kevin Small was very disappointed about losing Mr Oswald and described him as the "back-bone" and "brain" of Macrosoft. The rest of the directors carried the load of the CEO‟s responsibilities from 1 February 2016 until the appointment of a new CEO.

The following is an extract from the financial statements of Macrosoft:

EXTRACT FROM THE STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 28 FEBRUARY 2016:

	2016 $'000	2015 $'000
Revenue	162 082.8	172 084.5
Cost of sales	(141 042.1)	(123 096.5)
Gross Profit	21 040.7	48 988
Operating costs, finance costs	(23 055.6)	(24 071.7)
(Loss)/Profit before tax	(2 014.9)	24 916.3

EXTRACT FROM THE STATEMENT OF FINANCIAL POSITION AS AT 28 FEBRUARY 2016

	Notes	2016 $'000	2015 $'000
Non-current assets		102 026.4	108 025.7
Current assets		77 000.7	88 690
Total assets		179 027.1	196 715.7
Total Equity		577.2	17 045.1
Non-current liabilities	1	79 820	79 820
Current liabilities	2	98 629.9	99 850.6
Total liabilities		179 027.1	196 715.7

NOTES

1. Non-current liabilities
   The long-term loan of $79 820 000 is repayable in five equal yearly instalments of $15 964 000. Interest on the loan is charged at 14% per annum. The loan is secured by noncurrent assets to the value of $80 000 000.

2. Current liabilities
   Current liabilities consist of trade and other creditors and bank overdraft.
   - The bank overdraft has increased by $1 000 000 in the 2016 financial year, reaching the limit of the total bank overdraft facility of $30 500 000.
   - The creditor's payment days are on average 90 days.

The following working paper is available:

Working paper reference	Working paper description
U1	Audit findings

The following additional information is available:

Appendix	Description
A	Newspaper article – Penalty issued by the Competition Commission

Entity name:	Macrosoft Ltd	Year-end	28 February 2016	U1
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Audit section:	Audit findings			

After performing all the necessary audit procedures, the following matters were brought to the attention of Macrosoft's directors. The directors have however made it clear that they are not willing to make any of these adjustments or disclosures in the financial statements.

Audit finding 1:
Revenue

Management's performance bonuses are based on 10% of revenue. In an attempt to increase their performance bonuses, management recognised income of $18 631 000 that was received in advance as revenue in the current year.

Audit finding 2:
Intangible assets

All research and development costs spent on Doors 11 during the financial year were capitalised as an intangible asset. The audit procedures performed on the classification of research and development cost indicated that of the $10 950 000 research and development cost spent during the financial year, only $6 380 000 meets the recognition criteria as an intangible asset in terms of IAS38.

Audit finding 3:
Remuneration

Director's bonuses amounting to $1 100 000 were not disclosed in the financial statements as the directors deems this to be unnecessary information to the users of the financial statements. The total amount of bonuses paid to the directors was included in the salaries and wages account.

Audit procedures performed on the occurrence of salaries and wages could only verify 70% of the total salaries and wages amount of $9 504 370. Management refused to provide

supporting documentation for the remainder of the salaries and wages amount due to confidentiality reasons.

Appendix A: Newspaper article – Penalty issued by the Competition Commission

While performing your risk assessment procedures you came across the following newspaper article:

Penalty issued by the Competition Commission
21 February 2016

The Competition Commission levied a penalty today of $14 000 000 against Macrosoft for colluding with their competitors in contravention of the Competition Act. During 2015 the Competition Commission has investigated many software development companies for their possible involvement in price fixing.

Macrosoft has agreed to pay a penalty for price fixing of $14 000 000, which represents 8% of its revenue.

Macrosoft's board of directors admits that it entered into agreements and arrangements with other software development companies during the current financial year, to fix software prices in order to secure sales and minimize losses.

Required

		Marks
a)	With reference to Working Paper U1, discuss the impact that each of the audit findings considered **individually** will have on the audit opinion to be expressed in the audit report.	17
	Communication skills: logic of argument	1
b)	Evaluate the appropriateness of the going concern assumption underlying the 2016 annual financial statements of Macrosoft Limited.	11
	Communication skills: logical layout and argument	1

Adapted UNISA 2015

Solution

a)	**Discuss the effect that each of the audit findings identified in working paper U1 will have individually on the audit report of Macrosoft Limited.**	**17**
	Audit finding 1: Revenue	
	Revenue received in advance of $8 631 000 was prematurely recognised at year end resulting in an overstatement of revenue (P/L) and an understatement of revenue received in advance (SFP), thus a misstatement	**1**
	The misstatement is material in amount (quantitatively), as it exceeds the materiality amount of $1 800 000.	**1**
	The misstatement is also material in nature (qualitatively) because of non-compliance with IFRS (IFRS15) as it could affect the user's understanding of the financial statements and affect the fair presentation of the financial statements, and management committing fraud.	**1**
	The misstatement is factual because the revenue received in advance was recognized prematurely.	**1**
	This is a disagreement with management as management is not prepared to make the necessary adjustments.	**1**
	In isolation, this could result in a qualified "except for" audit opinion as it can be confined to a specific element and is thus not pervasive.	**1**
	Audit finding 2: Intangible assets	
	Capitalising research cost of $4 570 000 that do not meet the recognition criteria of IAS 38 results in a misstatement as research costs will be understated and development cost will be overstated.	**1**
	The misstatement is material in amount (quantitatively), as it exceeds the materiality amount of $1 800 000.	**1**
	The misstatement is also material in nature (qualitatively) because of non-compliance with IFRS (IAS 38) as it could affect the user's understanding of the financial statements and affect the fair presentation of the financial statements.	**1**
	The misstatement is factual because research costs where erroneously capitalized instead of being expensed.	**1**
	This is a disagreement with management as management is not prepared to make the necessary adjustments.	**1**
	It is not pervasive on its own, as it can be confined to one specific line item on the financial statements.	**1**
	In isolation, this could result in a qualified "except for" opinion.	**1**
	Audit finding 3: Remuneration	
	Director's bonuses	
	A misstatement arises because of the misclassification of bonuses. (Salaries and wages are overstated and director's remuneration understated).	**1**

	The misstatement is however not material in amount as it is less than materiality. (1) A misstatement arises as director's bonuses have not been disclosed in the financial statements as required in terms of King III (principle 2.26) and Companies Act 24:03 sec 184	**1** **1**
	It is however material in nature (qualitatively) because of non-compliance of both King III and Companies Act 24:03, as it could affect the user's understanding of the financial statements and affect the fair presentation of the financial statements.	**1**
	The misstatement is factual	**1**
	This is a disagreement with management as management is not prepared to make the necessary disclosures.	**1**
	It is not pervasive on its own, as it can be confined to only disclosure/ classification of the director's remuneration.	**1**
	In isolation, this could result in a qualified "except for" opinion.	**1**
	Salaries	
	30 Per cent of salaries and wages could not be verified and the misstatement is material in amount (quantitatively), as $2 851 311 exceeds the materiality amount of $1 800 000.	**1**
	Due to management's refusal of supporting documentation, this will result in a limitation of scope	**1**
	It would not be pervasive on its own, as it can be confined to the disclosure of one specific line item on the financial statements.	**1**
	In isolation, this could result in a qualified "except for" opinion.	**1**
	Alternative	
	If a student reasoned the following with regards to management's integrity the marks could be allocated as follows: ▪ The above matters could potentially be seen as pervasive as management's integrity is drawn into question with regards to the overstatement of revenue and the non-disclosure of director's remuneration which may affect the financial statements as a whole. ▪ If the matter is indeed pervasive this could potentially result in an adverse (negative) audit opinion	**1** **1**
	Communication skills: Logic of argument	**1**
	Available	**28**
	Maximum	**18**
b)	**Evaluate and discuss the applicability of the going concern principle to Macrosoft Limited.**	**11**
	Financial indicators	
	Macrosoft's share price dropped by 5% and it has not yet recovered.	**1**
	Macrosoft is currently in a net current liability position as current liabilities are exceeding current assets.	**1**
	Macrosoft moved from a net profit before taxation of $24 916 300 in 2015 to a net loss before taxation of $2 014 900.	**1**

	The bank overdraft has increased during the current year with $1 000 000.	**1**
	The limit of the total bank overdraft facility of $30 500 000 has been reached.	**1**
	Macrosoft is liable for a penalty amounting to 8% of their revenue.	**1**
	Creditor days are 90 days, which indicates that Macrosoft doesn't take up any discounts offered by creditors. Late payment could also have a negative impact on creditor relationships.	**1**
	Based on the current cash flow position, it is doubtful that Macrosoft will be able to make the repayment of $15 964 000 for the financial year.	**1**
	It doesn't seem as if the instalment has been paid in the 2016 financial year as there was no movement in the balance.	**1**
	The loan is secured by non-current assets of $80 000 000. If Macrosoft is not able to meet the repayment demands, the bank could have the company liquidated.	**1**
	If all of the misstatements were adjusted (as requested by the auditor) the company would be in a net liability situation and the company would be factually insolvent.	**1**
	Operating indicators	
	The loss of the CEO, Mr. Oswald who was a very experienced person without any replacement for him will be to the detriment of Macrosoft.	**1**
	Management is considering ceasing the operations of the Macrosoft Extraordinary tablet due to very strong competition in the market and losses on this product.	**1**
	It may take time for investors to regain their confidence in Doors 11 after the downfall of both Doors 10 and Macrosoft Extraordinary tablet.	**1**
	Other	
	Macrosoft is guilty of price fixing, thus contravention of the Competition Act, which will result in negative publicity with its stakeholders and possibly cause a further decline in the share price and can possibly affect future sales.	**1**
	Mitigating factors	
	Management is confident that sales pertaining to Doors 11 would increase software sales significantly and result in a net profit position.	**1**
	Macrosoft is planning on raising capital through a share issue.	**1**
	Macrosoft is the world's largest developer of software	**1**
	Macrosoft is a sound company and has been in existence since 1975.	**1**
	Conclusion Based on the indicators and mitigating factors mentioned above, it seems that the going concern principle is appropriate to Macrosoft, unless the mitigating factors are not feasible or effective.	**1**
	Communication skills: Logical layout and argument	**1**
	Available	**21**

	Maximum	**12**